track record in helping his party win assembly elections after 2017 hasn't been good. Barring the win in Assam in mid-2021 and a qualified one in Bihar the year before, the losses in Chhattisgarh, Rajasthan, Madhya Pradesh, Maharashtra and more recently in West Bengal, Tamil Nadu and Kerala point to dwindling returns from the BJP's iconic trump card. Retaining Uttar Pradesh, Uttarakhand, Goa and Manipur is imperative for the BJP, as is preventing Congress from regaining power in Punjab, to thwart its revival.

Modi has many other tough calls to make on the political front. Massive political rallies in the states going to polls will lead to an explosion of Covid cases. As prime minister, his campaigning for the BJP must set a model for caution and circumspection for others to follow. Also, as the defeat in the 2021 West Bengal polls proved, pushing for polarisation of votes to win UP at any cost could have deleterious consequences for the party and its prime campaigner. Hindutva's extreme fringe is already baring its fangs as seen by the incendiary speeches against minorities at the *dharam sansad* in Uttarakhand recently. A campaign that exacerbates existing schisms between communities could not only adversely impact the outcome of elections in Punjab, but create lingering faultlines. A fractured Punjab is something India can ill afford with Pakistan, emboldened by its success in Afghanistan, waiting for an opportunity to revive extremist elements in this frontline state. A similar warning holds good for Jammu and Kashmir, where the Modi government had abrogated Article 370 and reduced the state to a Union territory in 2019. Assembly elections must be held in 2022 to end the feeling of alienation in the Valley, apart from regaining the moral high ground internationally.

Yet, even as the prime minister wages political battles, he is aware that the revival of the economy in the latter half of 2021 is coming undone. Rising inflation and unemployment, mainly in the informal sector, are spectres that will flash more ominously in the grey light cast by Omicron. Particularly impacted would be those who lost their jobs when small and micro enterprises had to shut shop during previous Covid waves. Meanwhile, with Modi backing down on the agriculture laws, the government may find it difficult to speed up the reform process across sectors. For instance, taking a cue from the farmers' agitation, labour unions may be emboldened to take to the streets to protest the implementation of the new labour laws.

Rapid economic growth must remain the Modi government's prime focus in 2022 to provide jobs and boost the revenues needed to fund welfare and infrastructure schemes. But, as a senior finance ministry official put it, "there are no easy solutions". To revive small and micro enterprises, apart from financial support, experts say there is scope for further rationalisation of the current Goods and Sales Tax (GST) into three slabs rather than four and raising the turnover threshold to exempt even more small businesses. That would simplify the process, enhance compliance and lessen evasion. In the interim, the central government may have to come up with a safety net for unemployed urban workers. One way could be an urban employment scheme on the lines of the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA).

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While maintaining the glide path on the fiscal deficit that it promised in the 2021 budget, the Modi government must not let up on its capital expenditure on infrastructure. Privatisation of public sector banks and PSUs must proceed for the government to avoid a cash crunch. It is also vital that much of the capital investment comes from the private sector which has shown the appetite to expand after the economy rebounded last year. The Production Linked Incentive Schemes in 13 key sectors should help. Regulatory red tape should also be cut for the sectors that were opened recently like mining, space and defence.

The fourth ball that Modi must skilfully juggle with in 2022 is foreign policy, particularly with regard to the threat and opportunities that an aggressive China poses. India and the US see common cause in containing China, cementing the Quad process along with Australia and Japan in 2021. But India is the only one among them that shares an unsettled border with China and, in 2022, the Modi government must evolve strategies and tactics to deter Beijing from any further military adventurism. The return of the Taliban in Kabul, which lent strategic depth to the existing China-Pakistan nexus, poses its own set of challenges—terror not the least of them. On the other hand, the growing stand-off between China and the West holds economic opportunities for India to become part of an alternative supply chain network and boost exports. This requires India to re-examine its resistance to major trade pacts.

Most of all, the clutch of challenges, both domestic and international, that the country faces in 2022, require Modi the Statesman at the helm rather than the Politician. There is an acute need to lower the political temperatures—whether the hyper nationalism and polarisation practiced by the ruling party or the obduracy and negativity of the Opposition—that is adversely impacting the country's progress. This is the year that Modi should reach out to the Opposition and begin a dialogue for unity to meet the extraordinary challenges that 2022 poses. To quote Hazlitt again: "Greatness is great power producing great effects." Modi still has great power. He must wield it wisely and for the greater good in 2022. ■